A fragile US-China trade "truce" remains intact post-summit

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The Trump-Xi summit was supposed to reset the world's most important trade relationship. Instead, two days of discussion yielded meager results, despite strong incentives for both sides to stabilize the bilateral relationship. A fragile truce remains intact, but there is too much at stake for the two sides to just keep swapping dinner party invitations.

The most important relationship in economics and trade right now is the one between the United States and China. Despite its critical importance, this bilateral relationship has been fraught.

The first face-to-face meeting of 2026 between President Donald Trump and President Xi Jinping in Beijing on 14–15 May provided an important opportunity to address pressures and strains. However, two days of discussions yielded meager results, with uncertainty over deliverables and no final statements issued by either side.

Roughly one year ago, relations between the two sides reached a nadir when tariffs between both peaked at 145% and trade in essential supplies like rare earths and magnets were blocked. Markets responded badly. Both sides agreed on a fragile truce shortly thereafter, lowering tariffs and resuming trade in critical minerals.

The relationship has continued to face pressures in 2026, including the overturn of one set of the administration's tariff authorities by the US Supreme Court used against China among many others, and continued legal and regulatory changes to trade in essential materials. Tensions in the wider world, most notably the ongoing economic pressures emanating from the closure of the Strait of Hormuz after the US attack on Iran, accelerated the pressures and led to a six-week postponement of the summit.

Hence the first leaders' meeting in 2026 provided an important opportunity to reset the relationship. Ongoing events, however, kept eroding the scope for potential compromise.

By the time the two men met in Beijing, expectations for outcomes had been substantially limited. Rather than discussing issues like tariff adjustments, technology concerns, or sanctions, the menu of potential outcomes had shrunk to a handful of areas.

The US wanted to be able to announce at least four things: large-scale Chinese purchases of US goods, particularly in beef, beans, and Boeings, along with the creation of new systems to better manage the broader relationship.

There was also likely hope in many quarters that the consequences from the blockade of the Strait of Hormuz could be addressed with some creative thinking on how to collaborate on resolving the conflict. Both sides have suffered from disruptions in energy supplies from the region with growing knock-on implications from the dramatic reduction in oil and natural gas supplies.

China announced some modest steps ahead of the meeting to open its domestic market further for US beef exports.[1] However, beef ranchers in the US are already under pressure to deliver sufficient supplies for the US domestic market, with prices for US consumers reaching record levels. This makes any new market access opportunities limited in the near term, as there is simply insufficient supply to divert to exports.

China had also already pledged substantial increases in soybean purchases. These have largely not materialized, but the buying season ramps up after the harvest later in the year. It is possible that, by then, Chinese exports will start to rebound. US Treasury Secretary Scott Bessent noted after the summit that soybean purchases were “all taken care of” during the last negotiations in Busan, South Korea, in October.[2]

On Boeings, Trump had been predicting purchases of 500 aircraft. There is a long line in the queue to buy airplanes already and earlier bilateral trade deals with a range of US partners including aircraft purchases. Even Cambodia promised to buy 10 Boeing jets as part of its bilateral pledges to placate the US in the wake of punishingly high tariffs in 2025.[3]

After the US-China summit, Trump reduced the level of planned purchases from China downward to just 200 aircraft. Neither the company nor the Chinese side confirmed these figures. Boeing’s stock fell sharply as a result and it remains to be seen how many aircraft are ultimately bought.[4]

Although China may have been prepared to buy more goods from the US, no other purchasing announcements were made at the summit. This is all the more surprising, perhaps, given the strength and size of the US delegation of business leaders that accompanied Trump on the trip. None of the firms, ranging from Tesla to Nvidia to Citibank, have yet revealed any new deals flowing from the Beijing summit.

Finally, the US intended to announce one or two different structures to address economic issues: a Board of Trade and a Board of Investment. The former was to be led by US Trade Representative Jamieson Greer and the latter headed by Bessent. Greer has been flagging the importance of the Board of Trade since March, arguing that it could serve as a mechanism to manage trade flows between the two sides.[5]

By the end of the summit, however, nothing much was noted on either Board. China subsequently agreed to consider both, although the Chinese framing of their planned activities appears to be quite different from what was discussed by the Americans in the run-up to the meeting.[6] China took a narrow view and merely indicated that additional discussions on agricultural trade might take place in both bodies with the potential for some reciprocal tariff reductions.

In part, the uncertain nature of the Boards is a natural result of the haphazard planning that went into this leaders’ meeting. Unlike past summits, preparatory work for the May sessions was limited. Bessent added a last-minute session in South Korea the night before Air Force One landed in Beijing.[7]

To deliver real results, it will be necessary for both sides to clearly delineate the scope and content of each Board. Both will need to clarify the type of officials that will take part in whatever subsequent negotiations get underway and indicate the planned level of engagements that both sides can anticipate. Even with a carefully choreographed approach, getting real results from these initiatives will be difficult.

For its part, China appears to have wanted to avoid escalation and to limit its commitments, particularly when the US did not seem prepared to grant any concessions in exchange. The Chinese wanted Xi to be seen as an equal to Trump, rather than a supplicant. Xi also clearly wanted to put Taiwan on the table as quickly as possible.

In the end, most commentary focused more on who "won" or "lost" at this summit. But that is the wrong issue. Rather than wrangle over who is up or down, it would be more productive to think about why so little was achieved at this meeting, despite what would appear to be strong incentives for both sides to deliver more concrete results to stabilize the bilateral relationship.

The inability of the US and China to reset their dialogue and prepare to tackle even more difficult areas ahead is a problem for the rest of the globe. The risks and uncertainties emanating from unilateral policy choices are compounded by the personalized nature of US-China interactions. At best, Trump and Xi will meet three more times in the rest of the year, with the next session not set until September. There is an awful lot that might take place between now and then.

The best assessment of the May summit was that the two sides avoided further escalation for the moment. But agreeing to talk is not the same thing as delivering results through dialogue. There is too much as stake for the two sides to simply keep accepting dinner party invitations with one another.

References

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